

COMMERCIAL LEASE AGREEMENT

THIS LEASE AGREEMENT (this "Lease") is made and entered into as of May 1, 2022, by and between **LAKESIDE PROPERTIES GROUP**, an Illinois limited liability company ("Landlord"), and **SKYLINE STORES**, a Delaware corporation ("Tenant").

RECITALS

WHEREAS, Landlord is the owner of Lakeside Mall, a regional shopping center containing approximately 450,000 square feet located in Chicago, Illinois; and

WHEREAS, Tenant desires to lease space for the operation of an express-format retail store; and

WHEREAS, the parties wish to enter into this Lease on the terms and conditions set forth below.

ARTICLE 1 - BASIC LEASE PROVISIONS

The following sets forth basic lease information referenced throughout this Lease:

- **Premises:** Approximately 20,000 rentable square feet as depicted on **Exhibit A**
- **Store Number:** S004
- **Address:** 456 Lake Avenue, Chicago, IL 60601
- **Shopping Center:** Lakeside Mall
- **Tenant's Proportionate Share:** 4.44% (20,000 ÷ 450,000)
- **Term:** Five (5) years
- **Commencement Date:** May 22, 2022
- **Expiration Date:** May 21, 2027
- **Base Rent:** See Schedule Below
- **Security Deposit:** \$100,000 (Letter of Credit acceptable)
- **Broker(s):** CBRE (Landlord) / Cushman & Wakefield (Tenant)

Base Rent Schedule:

Lease Period	Monthly Base Rent	Annual Base Rent	Rate PSF
Year 1	\$50,000.00	\$600,000.00	\$30.00
Year 2	\$51,500.00	\$618,000.00	\$30.90
Year 3	\$53,045.00	\$636,540.00	\$31.83
Year 4	\$54,636.00	\$655,632.00	\$32.78
Year 5	\$56,275.00	\$675,300.00	\$33.77

ARTICLE 2 - GRANT AND TERM

2.1 Demise

Landlord hereby leases to Tenant and Tenant hereby leases from Landlord the Premises upon the terms and conditions contained herein.

2.2 Term

The Term shall commence on the Commencement Date and expire on the Expiration Date, unless sooner terminated or extended pursuant to this Lease.

2.3 Renewal Options

Tenant shall have one (1) option to renew for five (5) years at the greater of:

- (a) 103% of Year 5 Base Rent, or
- (b) 95% of Fair Market Rent Notice required: 180 days prior to expiration.

2.4 Delivery and Acceptance

Landlord shall deliver the Premises broom-clean with all base building systems operational. Tenant accepts Premises "AS-IS" subject to Landlord's Work Letter (**Exhibit B**).

ARTICLE 3 - RENT

3.1 Base Rent

Tenant shall pay Base Rent in monthly installments per the schedule above, in advance, without notice or demand.

3.2 Operating Expenses

Tenant shall pay its Proportionate Share of Operating Expenses in excess of the 2022 Base Year (\$2,250,000). Operating Expenses include:

- Common Area Maintenance (CAM)

- Management fees (capped at 3.5% of gross receipts)
- Security services and personnel
- Insurance premiums
- Common Area utilities
- Repairs and maintenance
- Administrative expenses (capped at 5% of Operating Expenses)

3.3 Real Estate Taxes

Tenant shall pay its Proportionate Share of Real Estate Taxes in excess of the 2022 Base Year (\$1,850,000).

3.4 Utilities

Tenant shall pay directly for all separately metered utilities. Non-metered utilities included in Operating Expenses.

3.5 Marketing Fund

Tenant shall contribute \$500 monthly to the Shopping Center Marketing Fund.

3.6 Audit Rights

Tenant may audit Landlord's books annually at Tenant's expense. If overcharge exceeds 5%, Landlord pays audit costs.

ARTICLE 4 - USE AND OPERATIONS

4.1 Permitted Use

The Premises shall be used solely for the operation of a Skyline Stores Express format offering:

- Curated general merchandise
- Grocery and consumables
- Quick-service food offerings
- Urban convenience items
- E-commerce pickup/returns

4.2 Exclusive Use Rights

During Years 1-3, Landlord shall not lease to another general merchandise retailer exceeding 15,000 square feet within the Shopping Center.

4.3 Hours of Operation

- **Required Hours:** 9:00 AM - 9:00 PM Monday-Saturday; 10:00 AM - 7:00 PM Sunday
- **Holiday Closures:** Thanksgiving, Christmas Day only
- **Extended Hours:** Permitted without consent

4.4 Continuous Operations

Tenant must operate continuously. Closure exceeding 48 hours (except for remodeling or force majeure) constitutes default.

4.5 Sales Reporting

Monthly gross sales reports due by the 15th of following month via Landlord's online portal.

ARTICLE 5 - MAINTENANCE, REPAIRS AND ALTERATIONS

5.1 Tenant's Maintenance Obligations

Tenant shall maintain and repair:

- Interior of Premises (floors, walls, ceilings)
- Storefront and entrance doors
- **All HVAC equipment exclusively serving the Premises**
- Interior plumbing and electrical
- All Tenant signage
- Pest control within Premises

5.2 Landlord's Maintenance Obligations

Landlord shall maintain:

- Roof and structural components
- Common Areas and parking facilities
- Building facade
- Fire/life safety systems
- Common Area HVAC and utilities

5.3 HVAC Specifications

TENANT'S HVAC RESPONSIBILITY includes:

- Four (4) rooftop units totaling 60 tons
- Annual service contracts required
- Filter changes monthly
- Complete maintenance, repair, and replacement
- Energy management system compliance
- Tenant responsible for 100% of HVAC costs

5.4 Alterations

- **Minor Alterations (<\$50,000):** Permitted with notice
- **Major Alterations (>\$50,000):** Require prior written consent
- **Structural Alterations:** Prohibited without express consent
- All work must comply with Landlord's construction rules

5.5 Mechanics Liens

Tenant shall not permit liens against the Premises. Tenant must bond off or discharge any liens within 20 days.

ARTICLE 6 - INSURANCE AND INDEMNITY

6.1 Tenant's Insurance

Required Coverage:

- Commercial General Liability: \$3,000,000 per occurrence / \$5,000,000 aggregate
- Property Insurance: Full replacement cost
- Business Interruption: 12 months' rent
- Commercial Auto: \$1,000,000
- Workers' Compensation: Statutory limits
- Umbrella: \$10,000,000
- Cyber Liability: \$3,000,000

6.2 Policy Requirements

- Landlord named as additional insured on liability policies
- Waiver of subrogation on all policies
- Primary and non-contributory coverage

- 30-day notice of cancellation

6.3 Indemnification

Tenant indemnifies Landlord from all claims arising from:

- Tenant's use of Premises
- Tenant's operations
- Tenant's invitees' actions
- Except for Landlord's gross negligence or willful misconduct

6.4 Landlord's Insurance

Landlord maintains property insurance on building and general liability for Common Areas.

ARTICLE 7 - DAMAGE, DESTRUCTION AND CONDEMNATION

7.1 Damage to Premises

- **Minor Damage (<6 months to repair):** Landlord repairs, rent abates proportionately
- **Major Damage (>6 months to repair):** Either party may terminate
- **Damage in last 24 months:** Tenant may terminate regardless

7.2 Damage to Shopping Center

If 40% or more of Shopping Center damaged, Landlord may terminate even if Premises undamaged.

7.3 Condemnation

- **Total Taking:** Lease terminates
- **Partial Taking >20%:** Tenant may terminate
- **Partial Taking <20%:** Rent adjusts proportionately

7.4 Award Distribution

All awards to Landlord except Tenant may claim for:

- Trade fixtures
- Moving expenses
- Business interruption

ARTICLE 8 - ASSIGNMENT AND SUBLETTING

8.1 Consent Required

No assignment or subletting without Landlord's prior written consent, not to be unreasonably withheld.

8.2 Standards for Consent

Landlord may consider:

- Financial strength of proposed transferee
- Business experience and reputation
- Use compatibility
- Impact on Shopping Center tenant mix

8.3 Recapture Right

For proposed transfer of entire Premises, Landlord may recapture with 30 days' notice.

8.4 Permitted Transfers

No consent required for transfers to:

- Parent, subsidiary, or affiliate with equal net worth
- Purchaser of substantially all assets
- Entity resulting from merger/consolidation

8.5 Profit Sharing

50% of net transfer premium (after Tenant's reasonable costs) paid to Landlord monthly.

8.6 No Release

Original Tenant remains fully liable regardless of consent to transfer.

ARTICLE 9 - DEFAULTS AND REMEDIES

9.1 Events of Default

Monetary Default: Failure to pay within 5 days after written notice **Non-Monetary Default:** Failure to perform within 30 days after notice (or commence cure if more time needed) **Immediate Default:** Bankruptcy, abandonment, chronic late payment (3+ times in 12 months)

9.2 Landlord's Remedies

Upon default, Landlord may:

- Terminate Lease and possession
- Terminate possession only and relet
- Accelerate rent (up to 6 months)
- Perform and charge costs plus 15%
- Exercise all legal remedies

9.3 Mitigation

Landlord shall use reasonable efforts to mitigate damages but may:

- Lease other vacant space first
- Refuse below-market offers
- Consider impact on tenant mix

9.4 Tenant's Remedies

If Landlord defaults beyond applicable cure period:

- Specific performance
- Injunctive relief for essential services
- Actual damages (no consequential)
- Self-help with offset rights (after notice)

ARTICLE 10 - MISCELLANEOUS PROVISIONS

10.1 Co-Tenancy

Opening Co-Tenancy: Not applicable (center fully leased) **Operating Co-Tenancy:** If occupancy drops below 60% for 6 consecutive months:

- Tenant pays 75% of Base Rent only
- After 12 months, Tenant may terminate

10.2 Parking

- **Customer Parking:** Non-exclusive use of all spaces
- **Employee Parking:** 15 designated spaces in employee area
- **Ratio:** 5.0 spaces per 1,000 SF

10.3 Signage

- **Storefront:** One illuminated sign per criteria
- **Pylon:** Proportionate space on mall pylon
- **Directory:** Interior and exterior listings
- **Restrictions:** No flashing, moving, or sound-emitting signs

10.4 SNDA

Tenant's obligation to attorn subject to receipt of commercially reasonable SNDA from existing lender.

10.5 Estoppel Certificates

Due within 10 business days of request. Failure constitutes acceptance of Landlord's facts.

10.6 Financial Reporting

- Annual audited statements: Within 120 days of year-end
- Monthly sales: By 15th of following month
- Confidentiality required

10.7 Hazardous Materials

- Tenant may use only consumer products in ordinary quantities
- No storage of hazardous materials
- Immediate reporting of spills required
- Full indemnification for Tenant-caused contamination

10.8 Americans with Disabilities Act

Tenant responsible for ADA compliance within Premises. Landlord responsible for Common Areas.

10.9 Force Majeure

Neither party liable for delays due to Force Majeure (except payment obligations). Notice required within 5 days.

10.10 Memorandum of Lease

Tenant may record memorandum at its expense with Landlord approval of form.

10.11 Quiet Enjoyment

Subject to Lease terms, Tenant shall have quiet enjoyment without interference from Landlord.

10.12 No Partnership

Nothing creates partnership, joint venture, or agency relationship between parties.

10.13 Governing Law

Illinois law governs. Venue in Cook County courts.

10.14 Notices

To Landlord: Lakeside Properties Group 200 N. Michigan Ave, Suite 2500 Chicago, IL 60601 Attn: General Counsel

To Tenant: Skyline Stores 500 Commerce Drive Dallas, TX 75201 Attn: Real Estate Legal Department

10.15 Entire Agreement

This Lease contains entire agreement. No oral modifications.

10.16 Severability

Invalid provisions severed without affecting remainder.

10.17 Time of Essence

Time is of the essence for all obligations.

10.18 Brokers

Landlord pays all leasing commissions per separate agreement. Parties indemnify for other broker claims.

EXECUTION

IN WITNESS WHEREOF, the parties execute this Lease as of the date first written above.

LANDLORD: LAKESIDE PROPERTIES GROUP

By: _____

Name: Daniel Richardson

Title: Executive Vice President - Leasing

Date: May 1, 2022

TENANT: SKYLINE STORES

By: _____

Name: Michael Chen

Title: Chief Real Estate Officer

Date: May 1, 2022

EXHIBITS

Exhibit A - Premises Plan **Exhibit B** - Landlord's Work Letter **Exhibit C** - Tenant's Initial Construction
Exhibit D - Signage Criteria and Locations **Exhibit E** - Rules and Regulations **Exhibit F** - Form of Estoppel
Certificate **Exhibit G** - Form of SNDA **Exhibit H** - Parking Plan **Exhibit I** - HVAC Specifications and
Locations **Exhibit J** - Cleaning and Maintenance Standards